DK Coffee Lab, Part 3 *(fictional)*

After months of hard work, including many hours of research and a *Shark Tank*–style pitch to persuade her family to invest in her dream, Denessa King was ready to launch her business: DK Coffee Lab. Thanks to her family's contribution, her own savings, $10,000 in grants, and her credit card, she had more than the minimum funding she needed to outfit the café (Table 1) and keep it running for the first three months, at which point she expected it would become profitable.

Table 1. Sources of Startup Funding

Funding Sources	Amount
Savings	$25,000
Family	$10,000
Community Grant	$10,000
Personal Credit Card	$2,500
Other	--
STARTUP FUNDING AVAILABLE	$47,500

Once she had her business license and insurance in place, King signed a two-year lease on a 1,600 square foot store near the Springville shopping mall. The space had previously operated as a taco shop and could easily be converted to a café. Her security deposit and first month's rent, as well as the licensing, insurance, and initial marketing expenses, totaled $14,900, which she paid in cash. Then came the fun part—shopping for furniture, coffee makers, appliances, and décor. She spent $28,500 ($26,000 in cash and $2,500 on her credit card) on these items. With careful negotiating and comparison shopping (and donated books and board games), she was able to create an environment with a variety of seating arrangements that would allow young adults and families to socialize, read, work, play games, and build a community.

Stocking the Coffee Shop

The next thing she had to do was buy inventory, including single use cups and lids (for both hot and cold drinks), stirrers, napkins, sugar, flavored syrups, and creamers—all from Zeta Restaurant Supply, a local business. In addition, King stocked up on high-quality locally roasted coffee beans from Bean Bliss Roastery, a coffee roaster in a nearby city. On the day of her grand opening, King would add to her inventory by stocking up on fresh gourmet sandwiches and cookies from Le Seine, a popular local bakery. In total, she spent $2,500 on inventory—$1,750 of it paid for with cash and $750 in accounts payable (which meant the supplier, Zeta, would take payment at a later date).

Savings – $25,000
Family Investment – $10,000
Community Grant – $10,000
Fixed Assets – ($28,500)
Startup Expenses – ($14,900)
Inventory Purchase – ($2,500)
Ending Balance – ??

Figure 1. King's notebook, showing her startup expenses

She recorded a summary of her financial transactions in a notebook and shared it with her family, since they were part owners (Figure 1).

Unfortunately, while her family loved the café, they were not impressed by her informal recordkeeping. King's mother, who had worked in accounting for a contractor, told her she would need to organize her financial information from day one, so that she would be able to produce key financial statements—the income statement, balance sheet, and cash flow statement—to help her monitor and improve performance and report to her investors.

King went back to her college accounting textbook and found the BSE (balance sheet equation) template, and with her mom's help, she created a professional record of these financial transactions (Table 2). The BSE is based on the fundamental accounting equation: Assets = Liabilities + Owners Equity. Every transaction must be recorded in a way that preserves the balance between assets and liabilities + owners' equity. She just had to figure out how.

Table 2. Startup Transactions

	Assets			Liabilities		Owners' Equity	
1	2	3	4	5	6	7	8
Transactions	**Cash**	**Inventory**	**Fixed Assets**	**Accounts Payable**	**Credit Card**	**Contributed Capital**	**Retained Earnings**
Beginning Balances	$0	$0	$0	$0	$0	$0	$0
1. Denessa's Savings	$25,000					$25,000	
2. Family Investment	$10,000					$10,000	
3. Community Grant	$10,000						$10,000
4. Purchase Fixed Assets	($26,000)		$28,500		$2,500		
5. Startup Expenses	($14,900)						($14,900)
6. Inventory Purchase	($1,750)	$2,500		$750			
Ending Balances	**$2,350**	**$2,500**	**$28,500**	**$750**	**$2,500**	**$35,000**	**($4,900)**

First, King copied all of the transactions from her notebook into the Transactions column (Column 1). That was the easy part. Then, referring to her college textbook, she determined how to classify each transaction, recalling that entries that decrease account balances (like using cash to purchase fixed assets) should be recorded using parentheses.[1]

King recorded her $25,000 in savings (line 1) in both the cash and contributed capital columns, because when she invested her savings into the business, she was contributing capital and putting cash into the business account. Her money basically became the business's money. Her family's $10,000 investment (line 2) was recorded the same way.

The grant funding (line 3) was trickier: it added to cash, but it wasn't contributed capital because the grant funder didn't become a part owner of the business. She did some research and decided

[1] Entries that decrease account balances are also coded in red here for emphasis.

the best solution was to record the community grant as retained "earnings"—it was money she gained and could spend without owing anyone.

Then she had to record and account for her spending. Because she used $26,000 of cash to buy fixed assets (line 4) like appliances, she recorded cash decreasing by $26,000. She also put $2,500 on her credit card (allowing her to keep some cash on hand), so she recorded $2,500 of credit card liability. The fixed assets became an asset to her business—a possession of value—so she could record an additional $28,500 in fixed assets.

King paid all of her startup expenses (line 5), such as insurance, in cash, and those expenses did not create an asset, so she recorded this $14,900 as a deduction from her retained earnings. In other words, her net earnings decreased by the amount of money she spent.

Finally, she got to the inventory purchase (line 6). King paid for her inventory using some cash and some accounts payable. She recorded cash decreasing by $1,750, but then she was stuck. Was "accounts payable" a negative or a positive? She checked with her mom, who told her that because it was a positive amount that she owed someone else (like the charges on her credit card), she should record it as a positive number. Fortunately, the inventory of coffee and other items also had value, so she recorded inventory as a positive under assets.

At last, she was done. She looked over the BSE and saw that she still had some cash but was negative in the retained earnings column. She would have to start selling some coffee to turn that number positive, or the value of her business would decrease.

DK Coffee Lab – Quarter 1 Transactions

1. Occupancy Expenses for Q1, including rent, utility, and insurance, totaled $9,700 and were all paid with cash.
2. Inventory purchases and food and beverages in Q1 totaled $26,650. $24,000 was paid in cash, and the balance of $2,650 went into Accounts Payable.
3. Revenue for Q1 was $55,250 and was all collected in cash (credit/debit card transactions are treated as cash because they are typically reimbursed within 24-72 hours).
4. Cost of Goods Sold for Q1 was $25,400.
5. Cash was used to pay $2,000 of Accounts Payable balance.
6. Marketing and Other Administrative Expenses in Q1 were $2,200 and were all paid in cash.
7. Wages for Q1 were $17,500 and were paid in cash.
8. Credit Card Interest Expense of $200 was paid in cash. There was no change in the credit card balance.

Figure 2. DK Coffee Lab – Quarter 1 transactions

Quarter 1 Transactions

King's mother recommended using the same template to record and classify all of the café's revenues and expenses in the first three months of operation (Quarter 1). This time, instead of starting with a balance of $0 in each column, she would start with the existing balances from her startup transactions.

For three months, she carefully recorded every sale and every expense, starting with $2,500 in food and coffee sales the first day of operations (when there were lines out the door), and $500 in cash spent to replace inventory the same day. At the end of the quarter, she totaled up each category (Figure 2) to prepare for creating the BSE template. Now the challenge was to see what her financials would tell her. Did she still have cash to operate the business? Did she have positive retained earnings? Was DK Coffee Lab a viable business?

